

MAINS MASTER PROGRAM (MMP) 2024

ECONOMY-6;

INCLUSIVE GROWTH AND ISSUE

ARISING FROM IT

1. TABLE OF CONTENTS

1. Table of Contents.....	0	5) Key Facts.....	4
2. Inclusive Growth & Issues arising from it..	1	6) Need For Inclusive Growth in India	4
1) PYQ's	1	7) Government Steps to promote Inclusive Growth.....	5
2) Inclusive Growth	1	8) Challenges to Inclusive Growth in India.	7
3) Some Key Observations regarding Inclusive Growth.....	2	9) Policies for Inclusive Growth.....	8
4) Key Elements of Inclusive Growth:	4		

2. INCLUSIVE GROWTH & ISSUES ARISING FROM IT

1) PYQ'S

Q.1) Capitalism has guided the world economy to unprecedented prosperity. However, it often encourages short sightedness and contributes to wide disparities between the rich and the poor. In this light, would it be correct to believe and adopt capitalism for bringing inclusive growth in India? Discuss. (2014, 10 Marks)

Q.2) Comment on the challenges for inclusive growth which include careless and useless manpower in the Indian context. Suggest measures to be taken for facing these challenges. (2016, 10 Marks)

Q.3) What are the salient features of 'inclusive growth'? Has India been experiencing such a growth process? Analyze and suggest measures for inclusive growth. (2017, 15 Marks)

Q.4) It is argued that the strategy of inclusive growth is intended to meet the objectives of inclusiveness and sustainability together. Comment on this statement. (2019, 15 Marks)

Q.5) Explain intra-generational and inter-generational issues of equity from the perspective of inclusive growth and sustainable growth. (2020, 10 Marks)

Q.6) Is inclusive growth possible under market economy? State the significance of financial inclusion in achieving economic growth in India. (2022, 10 Marks)

2) INCLUSIVE GROWTH

"Inclusive growth should not be a mere slogan but a fundamental driving force for sustainable development." (Pranab Mukherjee, Former President of India)

**"A rising tide lifts every boat,"
but while some sip champagne in a yacht,
others struggle to keep their raft afloat.**

1. Globally there is no uniform definition of Inclusive growth. Different agencies define it differently.
2. Inclusive growth is an "economic growth that creates opportunity for all segments of the population and distributes the dividends of increased prosperity, both in monetary and non-monetary terms, fairly across society". (OECD)

3. Inclusive growth is defined as “process and outcome where all groups of people have participated in growth and have benefitted equitably from it”. (UNDP)
4. The theme of 12th FYP was “Faster, Sustainable and More Inclusive Growth”
5. “Inclusive growth should result in lower incidence of poverty, broad- based and significant improvement in health outcomes, universal access for children to school, increased access to higher education and improved standards of education, including skill development. It should also be reflected in better opportunities for both wage employment and livelihood, and in improvement in provision of basic amenities like water, electricity, roads, sanitation and housing. Particular attention needs to be paid to the needs of the SC/ST and OBC population” (12th FYP).
6. Inclusive growth has become central focal point of all policies, fiscal policy, monetary policy, trade policy, labour market policy, price policy, etc., across the globe.

3) SOME KEY OBSERVATIONS REGARDING INCLUSIVE GROWTH

1. Inclusive growth is often seen as - “Broad Based Growth”; “Shared Growth”; “Pro Poor Growth”; “Growth With Equity”; “Disadvantage Reducing Growth”;
2. Inclusive growth focuses on economic growth i.e. rapid economic growth is the main driver of inclusive growth. However it must be ensured that economic growth is broad based across sector and inclusive of the large part of the country’s labor force
 - **Expanding economic opportunities**: Rapid growth of GDP over extended period produces a larger expansion in total income and production which, if the growth process is sufficiently inclusive, will directly raise living standards of a large section of our people by providing them with employment and other income enhancing activities. Our focus should not be just on GDP growth itself, but on achieving a growth process that is as inclusive as possible. For example
 - rapid growth which involves faster growth in agriculture, and especially in rain-fed areas where most of the poor live, will be much more inclusive than a GDP growth that is driven entirely by mining or extraction of minerals for exports.
 - Similarly, rapid growth which is based on faster growth for the manufacturing sector as a whole, including MSME, will generate a much broader spread of employment and income earning opportunities and is therefore more inclusive than a growth which is largely driven by extractive industries.
 - **To fund government welfare schemes**: Rapid economic growth generates higher revenues, which help to finance critical programmes of inclusiveness. There are many such programmes which either deliver benefits directly to the poor and the excluded groups, or increase their ability to access employment and income opportunities generated by the growth process. Examples of such programmes are the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), Sarva Siksha Abhiyan (SSA), Mid Day Meals (MDMs), Pradhan Mantri Gram Sadak Yojana (PMGSY), Integrated Child Development Services (ICDS), National Rural Health Mission (NRHM), and so on.
3. Inclusive Growth is concerned both with the pace and pattern of growth.

- Pace of growth - speed at which economic grows. Rapid economic growth is key driver of inclusive growth as it will create and expand economic opportunities
 - Pattern of growth - how far the benefit spreads. Inclusive in nature so that members of the society can participate in and benefit from the growth. It involves participation of larger section of the labour force, irrespective of socio-economic background, and regions in generation as well as accessibility of growth.
4. Inclusive growth is both a process and an outcome.
- As a process - focus on process involves a sense that for a growth episode to be inclusive it needs an extensive contribution of inputs from the labour force. It also involves the notion of non-discrimination, meaning that no person or group is denied participation in the growth process. the focus is on **wider participation** in the process of growth
 - As an outcome - it concerns with **benefit sharing**, removal of poverty, reducing income inequalities, more employment opportunities etc.
 - There is inclusive growth when all members of a society **participate in and contribute to** the growth process equally, regardless of their individual circumstances. In the same way, inclusive growth is one that emphasizes that **economic opportunities created by growth are available to all**, particularly the poor, to the maximum extent possible.
 - Note → Inclusive growth has much wider scope than welfare approach
 - Welfare approach focuses on outcomes. For example - income redistribution through progressive tax policies
 - Inclusive growth focuses on outcomes as well as process.
5. Inclusive growth emphasizes on the importance of both extensive and intensive growth
- Extensive Growth - growth occurring through expansion of quantity of inputs (capacity expansion)
 - Intensive Growth - growth occurring through because of productivity improvement, technological breakthroughs and other innovation (eg - productivity growth to reduce underemployment).
6. Inclusive growth implies participation and benefit sharing
- employment-to-population ratio (as proxy for participation).
 - income poverty, inequality (as proxy for the benefit-sharing dimension)
7. Inclusive growth is critical in achieving UN Sustainable Development Goals (SDG's)
- Goal 1 - removal of poverty by half
 - Goal 2 - ending hunger
 - Goal 8 - Promote sustained, inclusive, and sustainable growth, full and productive employment and decent work for all"
8. Inclusive growth is multidimensional.
9. Inclusive growth is typically fueled by market-driven sources of growth, with the government playing a facilitating role.
10. Inclusive growth strategies must be tailored to country-specific circumstances.

4) KEY ELEMENTS OF INCLUSIVE GROWTH:

1. Social development → Education; Health; Group equality; poverty alleviation; reducing income & wealth disparity; reducing regional disparities; Gender Parity; reducing barriers to social mobility
2. Economic Development → Rapid and broad-based economic growth; Increase in productive employment; Financial Inclusion; macroeconomic stability; sustainable debt; prudent taxation policy
3. Political Development → Good governance; Provisioning for basic social service to citizens; zero corruption.
4. Sustainable Development → protection of environment

5) KEY FACTS

1. UNDP's Human Development Index 2022 - 134 (193 countries)
2. Global Hunger Index 2023 - 111 (out of 125 countries)
3. WEF's Global Social Mobility Index 2020 - 76 (out of 82 countries)
4. WEF's Inclusive Development Index 2018 - 62 (out of 72 countries)
5. Human Development report 2022 - 132 (out of 191 countries)

6) NEED FOR INCLUSIVE GROWTH IN INDIA

1. Poverty & Hunger

- As per Global Multidimensional Poverty Index, 2022, India has nearly 22.9 crore multidimensional poor, the highest in the world.
- Global Hunger Index, 2023 → India ranked 111th out of 125 countries. India has the highest child wasting rate in the world, at 18.7 per cent, reflecting acute undernutrition.

2. Rising Inequalities

- Wealth Inequality →
 - As per study by World Inequality Lab (2022-23), the top 1% of population owned 39.5% of the national wealth and bottom 50% of population held only 6.5%.
- Income Inequality →
 - As per study by World Inequality Lab (2022-23), top 1% of Indians earns 22.6% of the national income whereas as bottom 50% of population earned only 15% (2022-23)
 - As per Oxfam International, the top 10% of the Indian population holds 77% of the total national wealth; it would take 941 years for a minimum wage worker in rural India to earn what the top paid executive at a leading Indian garment company earns in a year.
- Gender Inequality →
 - India was ranked 129 out of 146 countries in the Global Gender Gap Index, 2024
 - Gender based violence → As per NFHS-5, 31% women in India have faced physical or sexual violence
- Social inequalities (caste, religion, marginalised communities, primitive tribal groups)

3. Unemployment

- Jobless growth → low employment elasticity (0.1)

- Skill deficit → only 4.4% of youth is formally trained (PLFS 2022-23)
- Low female labour force participation rate → 37% (Global average is around 50%)
- Lack of gainful employment → more than 90% of total workforce is employed in informal economy
- Rise of 'disruptive technology' leading to job displacement

4. Lack of Financial Inclusion

- WB Global Findex Report 2021 - India is among seven countries home to half the world's 1.4 billion adults without access to formal banking

5. Lack of provision for essential government services

- For example - low government expenditure of health & education

6. Balanced regional Development

- For example - southern states vs North eastern states; inter state and intra state disparity

7. Environmental Destruction

- Extreme weather events (cyclones, droughts, floods) would have much higher impact on the poor and vulnerable sections

8. Diverse Society

- Social stratification on the lines of gender, caste and religion
- Diverse desires
- Non inclusiveness - threat to social harmony

9. Macro-economic stability

- Eg - High food inflation hurts poor more

10. Reaping Demographic Dividend

- Largest youth population in the world

7) GOVERNMENT STEPS TO PROMOTE INCLUSIVE GROWTH

Multi Dimensional Steps:

1. Poverty Alleviation Program

- Pradhan Mantri Garib Kalyan Yojana - providing free foodgrains
- MGNREGS; PMAY; Saubhagya Yojana
- Jal jeevan Mission;
- Deendayal Antyodaya Yojana – National Rural Livelihoods Mission (DAY-NRLM), Deen Dayal Upadhyay – Gramin Kaushalya Yojana (DDU-GKY),

2. Reducing Inequalities

- Providing Social Security net
- institutional support for entrepreneurship (MUDRA bank)

3. Promoting Employment Opportunities

- Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS)
- Deendayal Antyodaya Yojana- National Rural Livelihood Mission (DAY-NRLM)
- Deendayal Antodaya Yojana-National Urban Livelihoods Mission (DAY-NULM)
- PLI scheme; Make in India scheme

- Startup India; Standup India; Mudra Yojana; PM SVANidhi; PMEGP;
- 4. Promoting Skill Development
 - National Policy on Skill Development & Entrepreneurship, 2015
 - Skill India Mission
 - Pradhan Mantri Kaushal Vikas Yojana (PMKVY) (provide for short term training & Recognition of Prior Learning)
 - National Apprenticeship Promotion Scheme (NAPS) (providing financial support to industrial establishments undertaking apprenticeship program under The Apprentices Act, 1961)
 - Aatmanirbhar Skilled Employees Employer Mapping (ASEEM) portal - to match supply of skilled workforce with the market demand, acts as a directory of skilled workforce.
 - Pradhan Mantri Dakshta Aur Kushalta Sampann Hitgrahi Yojana (PM-DAKSH) - national action plan for skilling of marginalized persons including scheduled castes, backward classes and safai karamcharis.
- 5. Providing Social Security
 - Pradhan Mantri Suraksha Bima Yojana (Accident insurance scheme)
 - Pradhan Mantri Jeevan Jyoti Bima Yojana (Govt. backed life insurance scheme)
 - Atal Pension Yojana (Pension scheme targeted at the unorganised sector)
 - Pradhan mantri Fasal Bima Yojana (crop insurance schme)
 - Pradhan Mantri Vaya Vandana Yojana (Pension Scheme exclusively for the senior citizens aged 60 years and above)
 - PM Shram-Yogi Mandhan Yojana (Offers every individual with a regular pension after they attain 60 years. Beneficiaries in unorganized sector workers.)
- 6. Education
 - PM SHRI (PM Schools for Rising India) for upgradation of schools
 - National Initiative for Proficiency in Reading with Understanding and Numeracy (NIPUN Bharat)
 - Samagra Shiksha Scheme
 - PM e-VIDYA for digital/online/on-air education; DIKSHA (Digital Infrastructure for Knowledge Sharing) as One Nation One Digital Platform
- 7. Health
 - Ayushman Bharat - 1) Health & Wellness Centres to provide comprehensive primary health care, and 2) Pradhan Mantri Jan ArogyaYojana (PMJAY) to provide health cover o 10.74 crore poor & vulnerable families upto ` 5 lakh per family per year for secondary & tertiary hospitalization
- 8. Housing
 - Pradhan Mantri Awas Yojana-Rural & Urban
- 9. Agriculture Development
 - PM KISAN; PMFBY; Agriculture Infrastructure Fund (AIF); Formation & Promotion of new 10,000 FPOs; Rastriya Krishi Vikas Yojana; Soil Health card etc
- 10. Infrastructure Development

- National Infrastructure Pipeline; PM Gatishakti National Master Plan (NMP); Bharatmala; sagarmala; UDAN; PMGSY;

11. Financial Inclusion

- Jan Dhan Yojana
- JAM trinity
- DBT

12. Corporate Social Responsibility

Success Story

In the last 10 years, dedicated and consistent efforts have been made to improve the lives and livelihoods of the poor.

Around 25 crore people have escaped multidimensional poverty in the last nine years

- Over 80 crore households receiving free foodgrains every month under Pradhan Mantri Garib Kalyan Yojana
- Over 4 crore pucca houses built under PM Awas Yojana (Rural & Urban)
- 2.8 crore households electrified under the Saubhagya Yojana
- 55 crore beneficiaries targeted with an insurance cover of Rs 5 lakh per family for secondary and tertiary care hospitalization under the world's largest Government-funded healthcare programme Ayushman Bharat – PM Jan Aarogya Yojana.
- 14.50 crore rural households provided with tap water connections under the Jal Jeevan Mission (as of March 14, 2024)
- Over 10 crore women are now breathing easier, thanks to free gas connections under the PM Ujjwala Yojana.
- 52.6 crore Jan Dhan accounts have been opened,
- Around 12 crore toilets have been built under the Swachh Bharat Mission, bringing dignity and sanitation to millions.
- Around 52 crore Jan Dhan accounts have opened doors to financial inclusion, pulling people into the formal system.
- Over 62 lakh urban street vendors provided with collateral-free loans amounting to around Rs. 11,000 crores under the PM SVANidhi Scheme (as of March 14, 2024).
- 10.04 crore women have been mobilized into 90.76 lakh Self-Help Groups under Deendayal Antyodaya Yojana- National Rural Livelihood Mission (DAY– NRLM) as of March 13, 2024.

8) CHALLENGES TO INCLUSIVE GROWTH IN INDIA

- **Slow economic growth**

- Variation in growth across states
- Middle Income Trap
- Jobless growth
- Rural - urban divide
- **Unemployment**
 - Job deficits
 - Low female labour participation
 - Informalisation of Jobs
 - Skill Deficit
 - Low Wages
 - Lack of Social Security
- **Technology Advancement & Job displacement**
 - Low skilled, routine jobs may be replaced by technology
- **Poverty**
 - Multidimensional poverty - health, education, living standards
- **Inequality**
 - Social Inequality (caste, religion, marginalised group, tribal group)
 - Economic Inequality (Concentration of wealth)
 - Gender Inequality
- **Climate Change**
 - Climate induced stress
- **Financial Inclusion**
 - Seven (out of seventeen) of the UN SDG 2030 view financial inclusion as a key enabler for achieving sustainable development worldwide
- **Regional Disparities**
- **Digital Divide**
- **Governance Deficit**
 - Corruption, failure in delivery of public service

9) POLICIES FOR INCLUSIVE GROWTH

Inclusive growth is multidimensional and requires multidimensional policies.

- Raising economic growth (augmenting government revenue) (Promoting strong, sustained, and broad-based growth; extensive and intensive growth)
- Raising Government Spending (especially social sector spending - health, education etc)
- Progressive taxation Policy (fostering a fairer distribution of income and wealth; for example inheritance tax)
- Improving Governance (reducing corruption, improving transparency)
- Promoting labour force participation (reforming labour laws, EoDB)
- Improving investment scenario (Foreign Investment, private investment)
- Promoting Financial Inclusion

- Gender Mainstreaming (Gender Budgeting)
- Need for Inclusive Migration policy
- Need for Universal Basic Income
- Need for Urban Wage Employment Program

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